

Multimodal Transport of Goods Act, 2006

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act shall be called the ?Multimodal Transport of Goods Act, 2063 (2006).?

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) ?Multimodal Transport? means the carriage of goods on the basis of a multimodal transport contract.

(b) ?Multimodal Transport Contract? means a contract concluded between a consignor and a multimodal transport operator, whereby the multimodal transport operator undertakes to receive goods from the consignor at any one place within the State of Nepal and to deliver the goods to a specified place outside the State of Nepal, using two or more different modes of transport.

(c) ?Multimodal Transport Operator? means a company that has obtained a license under Section 4 to operate multimodal transport services.

(d) ?Department? means the Department of Commerce, Ministry of Industry, Commerce and Supplies.

(e) ?Consignor? means a person who enters into a multimodal transport contract with a multimodal transport operator for the delivery of goods.

(f) ?Consignee? means a person entitled to take delivery of the goods from the multimodal transport operator or his authorized agent or representative in accordance with the multimodal transport contract.

(g) ?Multimodal Transport Document? means a written document evidencing the multimodal transport contract, by which the multimodal transport operator, having received the goods from the consignor in accordance with the multimodal transport contract, accepts liability to carry and deliver such goods.

(h) ?Negotiable Multimodal Transport Document? means a multimodal transport document issued to the order of a named person or to bearer, or issued in such a way that it is transferable to another person by endorsement, with or without endorsement.

(i) ?Non-Negotiable Multimodal Transport Document? means a multimodal transport document issued specifying the name of the consignee.

(j) ?Delivery? means the act of handing over the goods to the consignee or to any person specified in accordance with the written consent of the consignor, in accordance with the multimodal transport contract.

(k) ?Taken in Charge? means the act of the multimodal transport operator receiving the goods from the consignor for the purpose of delivering them to the consignee, in accordance with the multimodal transport contract.

(l) ?Goods? means goods contained in a container or packaged or unpacked, boxes, pallets or similar transport items, and also includes live animals.

(m) ?SDR (Special Drawing Rights)? means SDR as defined from time to time by the International Monetary Fund.

(n) ?Endorsement? means the act of the consignee signing a multimodal transport document, by mentioning the endorsement on the front or back of the document in a visible manner, for the transfer of the ownership of the goods mentioned in the multimodal transport document to a person specified in accordance with the multimodal transport contract.

(o) ?Prescribed? or ?as prescribed? means prescribed or as prescribed in the rules made under this Act.

Chapter-2

Provisions relating to License

3. Prohibition on Operating Multimodal Transport Service without License: No person shall operate multimodal transport services without obtaining a license under this Act. 4. Provisions relating to License: (1) A company possessing the following qualifications desiring to operate multimodal transport services shall submit an application to the Department along with the prescribed application fee:

- (a) Having a paid-up capital of at least one crore rupees in the name of the company,
- (b) Having a branch, authorized agent or representative of its company in at least two countries outside the State of Nepal,
- (c) Having manpower, physical assets and other managerial capacity as prescribed.

(2) Upon examining the application submitted under sub-section (1), if it appears appropriate to grant a license to the applicant to operate multimodal transport services, the Department shall, within sixty days from the date of application, grant the license upon collecting a fee of twenty-five thousand rupees for the license.

(3) If, upon examination under sub-section (2), it appears that it is not feasible to grant a license as requested by the applicant, the Department shall, within sixty days from the date of application, inform the applicant in writing stating the reason thereof.

(4) The period of validity of the license granted under sub-section (2) shall be five years. If the licensee wishes to renew the license after the expiry of that period, the licensee may renew the license by paying the prescribed fee to the Department. 5. When License may be Cancelled: (1) The license granted under Section 4 shall be cancelled in the following circumstances:

- (a) If it is proved that the paid-up capital of the licensed company is not one crore rupees,
- (b) If it is found that the licensed company does not have a branch, authorized agent or representative in at least two countries outside Nepal,
- (c) If the licensee fails to renew the license under Section 4.

(2) Except as provided in sub-section (1), if any licensee does any act contrary to this Act or the rules made under this Act, the Department shall give such licensee a reasonable time to rectify such act. If, even after being given such opportunity, the licensee fails to rectify the act, the Department shall cancel the license granted to him. Provided that, before such cancellation of license, he shall not be deprived of the opportunity to present his defense. 6.

Right to Appeal: (1) If a license is cancelled under sub-section (2) of Section 5, the concerned company may appeal to the Secretary of the Ministry of Industry, Commerce and Supplies within thirty-five days from the date of receipt of the notice of such cancellation of license. (2) Upon receipt of an appeal under sub-section (1), the concerned Secretary shall decide on the appeal within three months from the date of receipt of the appeal, and such decision shall be final.

Chapter-3 Multimodal Transport Document and Delivery of Goods

7. Issue of Multimodal Transport Document: (1) The multimodal transport operator shall issue a multimodal transport document upon taking charge of the goods from the consignor for carriage. (2) The multimodal transport document issued under sub-section (1) may be negotiable or non-negotiable, as desired by the consignor. (3) If the name of the consignee is mentioned in the multimodal transport document, such person, or if a negotiable multimodal transport document is issued and such document is transferred to another person by endorsement, such person, or the bearer of such document shall be deemed to have ownership over the goods mentioned in that document.

8. Signature on Multimodal Transport Document: (1) The multimodal transport document shall be signed by the multimodal transport operator. (2) The signature on the multimodal transport document may be handwritten or by any other means recognized by prevailing law.

9.

Matters to be Mentioned in Multimodal Transport Document: The multimodal transport document shall contain the following matters: (a) The nature of the goods, identifying marks, details of dangerous nature of goods if any, details of packages or number, total weight or quantity of the goods, and other details as furnished by the consignor, (b) The external condition of the goods, (c) The name and principal place of business of the multimodal transport operator, (d) The name and address of the consignor, (e) The details if the consignor has mentioned the name of the consignee, (f) The place and date when the multimodal transport operator took charge of the goods, (g) The place, date and time period for delivery of the goods as agreed upon between the parties to the multimodal transport contract, (h) Details whether the multimodal transport document is negotiable or non-negotiable, (i) The date and place of issuance of the multimodal transport document, (j) The signature or seal of the multimodal transport operator or his authorized representative, (k) Details of transport charges payable by the consignee or consignor, or if transport charges have already been paid, (l) The route and means of carriage of goods as per agreement between the parties to the multimodal transport contract, (m) Other matters that the parties to the multimodal transport contract have agreed to include in the multimodal transport document.

10. Issuance of Negotiable Multimodal Transport Document: A negotiable multimodal transport document shall be issued as follows: (a) It shall be issued in the name of a named person or to bearer, (b) A multimodal transport document issued in the name of a named person may be transferred to another person by endorsement, (c) A multimodal transport document issued to bearer may be transferred to another person without endorsement, (d) If more than one multimodal transport document is issued, such fact shall be mentioned in that document.

11. Delivery of Goods under Negotiable Multimodal Transport Document: (1) In accordance with the negotiable multimodal transport document issued under Section 10, the multimodal transport operator or his agent or representative may deliver the goods to the consignee or his agent or representative. (2) If delivery of goods is made under sub-section (1), it shall be deemed to be a valid delivery of goods.

Provided that, in the case of issuance of a non-negotiable multimodal transport document, there shall be no bar to deliver the goods to any other person specified in such authorization letter by obtaining the written consent of the consignor.

12. Reservation in Multimodal Transport Document: (1) At the time of issuing the multimodal transport document, if the multimodal transport operator or a person acting on his behalf knows that the general nature, leading marks, number of packages or pieces, weight or quantity of the goods mentioned in the document do not accurately correspond to the goods taken in charge, or if there are reasonable grounds to suspect that the goods taken in charge are not accurate, or if he does not have the

necessary means to check such details, the multimodal transport operator or the person acting on his behalf may insert a reservation in the multimodal transport document, mentioning such inaccuracies, grounds for suspicion, or lack of means to check.

(2) Notwithstanding anything contained in sub-section (1), the legal validity of the multimodal transport document shall not be deemed to be adversely affected merely because one or more details mentioned in that sub-section are not included. 13. Taking Charge of Goods with Reservation: (1) Notwithstanding anything contained in Section 12, when taking charge of goods for carriage from the consignor or his authorized agent or representative, if the multimodal transport operator or his authorized representative has any doubt regarding the non-conformity of the goods with the particulars mentioned in the document, the goods may be taken in charge with a reservation stating the same.

(2) If the multimodal transport operator or his authorized representative takes charge of the goods for carriage from the consignor or his authorized agent or representative without making any reservation under sub-section (1), the goods mentioned in the transport document shall be deemed to be accurate. 14. Multimodal Transport Document as Prima Facie Evidence: The multimodal transport document shall be prima facie evidence that the multimodal transport operator has taken charge of the goods from the consignor as mentioned in the multimodal transport document. 15. Guarantee of Particulars of Goods Mentioned in Transport Document: When the consignor, his authorized agent or representative delivers goods to the multimodal transport operator for carriage, he shall be deemed to have given a general guarantee regarding the particulars mentioned in the multimodal transport document in respect of the goods so delivered. 16.

Method of Delivery of Goods: When delivering goods to the consignee in accordance with the multimodal transport contract, the multimodal transport operator shall deliver as follows: (a) In case a negotiable multimodal transport document marked as bearer has been issued, delivery shall be made to the person surrendering the original copy thereof, (b) In case a negotiable multimodal transport document marked to the order of a named person has been issued, delivery shall be made to the person surrendering the duly endorsed multimodal transport document, (c) In case a non-negotiable multimodal transport document marked with the name of the consignee has been issued, delivery shall be made to the person producing reasonable proof that he is the consignee mentioned in the written authorization letter of the consignor.

Chapter-4 Liability of Multimodal Transport Operator 17. Liability of Multimodal Transport Operator: (1) After taking charge of the goods from the consignor in accordance with the multimodal transport contract, the multimodal transport operator shall have full liability over the goods until they are delivered in accordance with Section 16. (2) The multimodal transport operator shall himself be accountable for any act done by the multimodal transport operator, his employee or his representative in the course of performance of the multimodal transport contract. (3) Without prejudice to the generality of sub-section (1) or (2), if the goods taken in charge for carriage in accordance with the multimodal transport contract are lost, damaged or destroyed, or if reasonable loss, damage or injury is caused to the consignor or consignee due to non-delivery to the consignee within the time period determined under the multimodal transport contract, by the multimodal transport operator, his employee, his authorized representative or any other person rendering service to him under contract, the multimodal transport operator himself shall be accountable and shall pay compensation accordingly. Provided that, if the multimodal transport operator proves that such loss, damage or injury was not caused by the fault or negligence of the multimodal transport operator, his employee, his representative or any other person rendering service to him under contract, the multimodal transport operator shall not be liable to pay compensation. 18. Multimodal Transport Operator May Enter into Contracts: (1) After entering into a multimodal transport contract with the consignor under this Act and undertaking to carry

the goods, the multimodal transport operator may, subject to the terms of the multimodal transport contract, enter into a contract with any other person regarding the carriage of the goods. (2) If the multimodal transport operator carries the goods by entering into a contract with any other person under sub-section (1), he shall not be relieved of the liability under Section 17. 19.

When Delay in Delivery of Goods is Deemed: If a time period for completing the carriage of goods is specified in the multimodal transport contract and the goods are not delivered within that period, or if no such period is specified, if the multimodal transport operator fails to deliver the goods within a reasonable time, taking into account the nature of the goods to be carried, the circumstances of the multimodal transport operator and the overall situation during carriage, the multimodal transport operator shall be deemed to have delayed in delivering the goods. 20. When Goods are Deemed Lost: If a time period for delivery of goods is specified in the multimodal transport contract and the multimodal transport operator fails to deliver the goods in accordance with the multimodal transport contract within ninety days from the expiry of that period, the goods shall be deemed to be lost. 21. Limitation of Liability: (1) Except where the value of the goods to be carried has been declared by the consignor and mentioned in the multimodal transport document before the multimodal transport operator takes charge of the goods for carriage, the liability of the multimodal transport operator for loss or damage arising from any loss of or damage to the goods taken in charge for carriage shall be limited to an amount not exceeding 666.67 SDR per package or unit or 2 SDR per kilogram of gross weight of the goods lost or damaged, whichever is higher. (2) For the purpose of sub-section (1), the packages or units as mentioned in the multimodal transport document shall be taken as the basis for determining the package or unit. (3) In the case of liability arising from delay in delivery of the goods, the liability of the multimodal transport operator shall be limited, subject to the provisions made in the multimodal transport contract in this regard. (4) Notwithstanding anything contained elsewhere in this Section, the liability of the multimodal transport operator shall not exceed the total value of all the goods to be carried under the multimodal transport contract. 22.

Assessment of Loss: (1) If, after the multimodal transport operator has taken charge of the goods for carriage under the multimodal transport contract, the goods are lost, damaged or destroyed, or a situation arises requiring payment of compensation for loss caused by any other reason before delivery in accordance with the multimodal transport contract, the valuation shall be made on the basis of the reasonable value that the goods so lost, damaged or destroyed would have had at the place and time of delivery to the consignee. (2) In determining the value under sub-section (1), the prevailing market price at the time shall be taken, or if such price cannot be ascertained, the value shall be determined on the basis of the reasonable value of other goods of the same kind. (3) Notwithstanding anything contained elsewhere in this Act, if the goods to be carried under the multimodal transport contract are not carried by sea or inland waterways, the amount of compensation payable for loss of, damage to or destruction of goods shall not exceed 8.33 SDR per kilogram. 23. Liability under Prevailing Law: Notwithstanding anything contained elsewhere in this Act, if additional liability arises under any international treaty to which the State of Nepal is a party, or if any national law is also required to be complied with, in respect of goods carried under a multimodal transport contract, the multimodal transport operator shall not be exempted from the liability determined under such treaty or national law. 24. Not Entitled to Benefit of Limitation of Liability: If it is proved that the goods to be carried under the multimodal transport contract were lost, damaged or destroyed, or delivery was delayed, due to intentional or grossly negligent conduct of the multimodal transport operator, his employee or his representative, the multimodal transport operator shall not be entitled to any benefit relating to limitation of liability under this Act. Chapter-5 Miscellaneous 25.

Special Provisions regarding Dangerous Goods: (1) When delivering prescribed dangerous goods for carriage, the consignor shall inform the multimodal transport operator, his representative or any other person acting on his behalf about the nature of such goods and the precautions to be taken during their carriage. (2) When delivering goods under sub-section (1), the outer part of each packaging containing such goods shall, as far as possible, be clearly marked with details thereof. (3) If the procedure under sub-section (1) is not followed, or if loss or damage is caused to the multimodal transport operator in relation to the carriage of goods under the multimodal transport contract due to the fault or negligence of the consignor, his employee or his representative, the consignor himself shall be responsible. (4) If the conditions under sub-section (1) or (2) are not fulfilled, the multimodal transport operator shall not be obliged to carry such goods, and may at any time unload, destroy or give away such goods at any place. (5) If the multimodal transport operator carries such goods knowing the situation under sub-section (1), the multimodal transport operator himself shall be accountable for any loss or damage that may arise from such carriage. 26. Goods Deemed to have been Properly Delivered: (1) If, after the consignee takes delivery of goods from the multimodal transport operator, his employee or his authorized representative, no written notice is given to the multimodal transport operator, his employee or his representative regarding apparent loss or damage within two days from the date of taking delivery, the goods shall be deemed to have been properly delivered in accordance with the multimodal transport document. (2) If there is a reasonable basis for not being able to immediately inspect the goods taken delivery of by the consignee from the multimodal transport operator, his employee or representative, and if no notice is given within three days from the date of taking delivery of such goods to the multimodal transport operator, his employee or his representative under sub-section (1), the goods shall be deemed to have been properly delivered in accordance with the multimodal transport document. 27. General Average May Apply: Notwithstanding anything contained in this Act or the prevailing law, if the concerned parties wish to include the condition of general average when concluding the multimodal transport contract, the liability under this Act may be determined subject to such condition. 28. Penalty: If any person operates multimodal transport services contrary to Section 3, the prescribed Department may impose a fine of ten thousand rupees to one hundred thousand rupees on him. 29.

Limitation Period: A person intending to file a complaint regarding any act done under this Act shall file the complaint within six months from the following dates: (a) The date of delivery of the goods, (b) The date on which the goods were required to be delivered under the multimodal transport document, (c) In the case of loss of goods, the date on which the goods are deemed lost under Section 20. 30. Jurisdiction for Filing Suit: If any party wishes to institute a suit under this Act, the suit may be filed in any court having jurisdiction under the prevailing law of the concerned country, from among the following: (a) The court of the place where the defendant resides or has his principal place of business, (b) The court of the place where the multimodal transport contract was concluded: Provided that, for jurisdiction to be established under this clause, the defendant must have a place of business, branch or authorized representative in that place, and the multimodal transport contract must have been concluded through such place. (c) The court of the place where the goods were taken in charge or are to be delivered under the multimodal transport contract, or (d) The court of such other place as the parties have specified in the multimodal transport contract for instituting suits. 31. Power to Make Rules: The Government of Nepal may make necessary rules to carry out the objectives of this Act.